

by Moskowitz et al. (2012), and also in other trend-following studies, e.g., Hutchinson and O'Brien (2015), Kim et al. (2016), and Baltas and Kosowski (2013). The pool consists of 24 commodity futures, nine foreign exchange futures, nine equity indexes of developed countries, and 13 government bonds of various maturities for six developed countries. The data were sourced from Bloomberg and DataStream; see Section A in the Online Appendix for more details.

The futures prices of the nearest contracts are concatenated to form long time series for reasons of tractability. For robustness, we also splice the futures prices based on the trading volume. To mimic a real-life trading situation, once the trading volume of the second nearest contract exceeds that of the nearest one, we do not allow the nearest contract to be chosen again even if its trading volume subsequently rise higher. The results show that the descriptive statistics for our spliced data do not vary greatly from those obtained using the nearest contract data.

As in Moskowitz et al. (2012) and Papailias et al. (2021), we compute the daily excess returns for each instrument and calculate its cumulative returns. This allows us to proxy for prices and compute our periodic returns. In this paper, we focus on monthly returns, which are calculated from the previously mentioned daily excess cumulative return series. This allows us to directly compare our results with the literature.

In Table 1, we summarise the descriptive statistics of the original series. The table presents the date of the first available data point for each series, and the annualised arithmetic mean, standard deviation, skewness, and kurtosis of the monthly excess returns of each individual instrument. The last available month for all series is March 2015. Most futures have positive long-term annualised means, while some of the currency futures show slightly negative values. We found that volatility varies across different asset classes. The volatilities of commodities and equities are much higher than those of currencies and bonds. To illustrate, Natural Gas futures have a volatility of 54.39%, whereas the 2-year maturity US bond (US2) offers the lowest volatility at 2.84%.

For the factor regression analysis which follows, we used Bloomberg to collect the monthly returns of four major financial asset class indices: the MSCI World Index